

## Testahil — Arabian Cement Company S.A.E. (EGX: ARCC) — revision 4

Companion model · Independent Valuation Study · Educational analysis · Not investment advice

REVISION 3 CORRECTS THE PRICE PATH, WHICH THE AUDITED RECORD DISPROVED. Revision 2 rebalanced the price path on the statements but left one forecast driver where revision 1 had put it: local realised price growing 3.0% in FY2026 against 11.5% cost inflation, and about 4% a year after that. The statements that have just been read contradict it. FY2024: revenue +44.5% against total cash cost +41.8%. FY2025: revenue +44.5% against cash cost +12.5%, which is why the audited gross margin went 21.2% to 23.9% to 40.6%. Q1-2026 printed revenue +17.3% at a 42.9% gross margin against 40.6% for the full prior year — still WIDENING. In every period the accounts cover, price outran cost. The old path also implied a producer unable to raise price even at the central bank's own 7% medium-term target, while the same model had utilisation RISING from 69.7% to 78.2% — volume gained and real price lost at once, two conservatisms stacked rather than judgement made. The path is recalibrated to 8.0% / 9.0% / 8.0% / 7.0% / 6.5%, still below the cost path in every year, and still producing FY2026 group revenue growth of about 10.7% against the 17.3% the first quarter actually ran. The cost path is UNCHANGED at headline inflation: the company's realised cost inflation ran below the national rate, but crediting that here would double-count the alternative-fuel saving already carried as its own driver. The EBITDA margin now glides from the audited 39.3% to about 34.3% by FY2030 rather than to 24.5% — still erosion, but erosion the record can support.

REVISION 2 BUILT THE STUDY ON THE AUDITED ACCOUNTS. Revision 1 was built without opening a source document: every outbound request was refused by the network policy in force, so every company figure reached it as relayed in a web-search summary. The audited consolidated financial statements for FY2023, FY2024 and FY2025 — Deloitte, signed 25 February 2026 — and the reviewed Q1-2026 interim accounts are on hand, and every historical cell in this workbook is a disclosed figure read from them.

WHAT THE STATEMENTS CHANGED, and it is not cosmetic:

- \* Non-controlling interests are EGP 158,005 — one hundred and fifty-eight THOUSAND pounds. Revision 1 deducted EGP 150 MILLION on inference, 949 times too much.
  - \* The effective tax rate is 23.82%, not the 29.43% revision 1 inferred. Every forecast year was over-taxed.
  - \* The cost of debt is about 7.5%, not 21.5%: 91% of the book is EURO-denominated, at Euribor plus 4.35% (a EUR 25mn EBRD decarbonisation facility) and Euribor plus 3% (a EUR 3.09mn NBE/KfW facility).
  - \* Kiln capacity is 4.2Mt of clinker against 5.0Mt of cement, so the clinker factor is 0.84, not 0.72.
  - \* Exports are 30.7% of revenue, not 12%. The revenue note splits local from export and goods from services.
  - \* The cost stack is DISCLOSED. The invented five-line stack of revision 1 is retired for the printed one.
- What survived: the share count of 374,867,445, FY2025 operating income of EGP 4,595.82mn to the pound, total liabilities of EGP 4,140.99mn — which revision 1 derived, against an aggregator print of EGP 2,894.4mn that it rejected. That figure turns out to be total CURRENT liabilities. The derivation was right.

IT IS FORMULA-DRIVEN, AND THAT CLAIM IS TESTED. Change a blue cell on Assumptions and the model works. The cost of equity is built from the risk-free rate NET of the sovereign default spread, beta and the premium; the cost of debt is built FACILITY BY FACILITY from the audited debt note and blended by currency; the weights come from debt and market capitalisation; the terminal rate is built from its own components; the glide fractions are derived from the pound cost-of-debt path; the discount factors compound through it; the waterfall chains from margin through EBITDA, D&A, EBIT, NOPAT, capex and working capital to free cash flow.

and present value; the terminal block chains from reinvestment = growth / return on capital; the statements roll forward; and every ratio and per-share figure is a formula. A driver test perturbs every input in place, re-evaluates the whole workbook and confirms the headline moves in the right direction.

THREE CLASSES OF CELL ARE PASTED, and it is worth knowing exactly which.

1. Audited and disclosed history — the primary record, not a calculation. Where a line is both disclosed and derivable, the DISCLOSED figure is carried. These sit on Assumptions and are labelled there.
2. The output of a unit build that cannot survive being flattened into a grid: the percentile ladder of the probabilistic price map on the Monte Carlo sheet, the output of a 50,000-path simulation.
3. Whole-model re-runs — the sensitivity grids, and the alternative fair values in the contested-choices table. Each of those cells is a COMPLETE revaluation at a different assumption. THESE DO NOT REDR WHEN A DRIVER CHANGES. Edit an input and the unit build, waterfall, statements, ratios and all four lenses reprice; the sensitivity tables and the price map keep the values printed here.

Anything else pasted would be a defect, and the claim is AUDITED rather than asserted. Of the 306 pasted cells: 136 are audited or disclosed history; 77 are genuine forecast drivers, which by definition have nothing to derive them from; 26 are the simulation ladder; 78 are whole-model re-runs. That is all 306, and ZERO are derivable-but-pasted. Two rounds of review found cells that were: revision 3 held two rounded COPIES of figures derived elsewhere on the same sheet (the FY2025 utilisation and export share), and the expert panel on the Summary sheet was nine typed numbers. The copies are gone because revision 4 inverted the build so the quantities are no longer derived at all; the panel is now nine FORMULAS, which also settles what it is — the same model at three parameter values, not three independent valuations.

HOW THE COMPANY IS VALUED. A single-segment cement operating company: two lines in Suez govern clinker capacity and 5.0Mt of cement, 60% owned by Aridos Jativa of Spain. No property leg, no lending but no concession. One operating-company lens, cross-read against relative multiples, normalised earnings power and replacement cost. Cash of EGP 3,459mn against interest-bearing debt of EGP 1,135mn makes it net cash; that cash is stripped out of the discount rate and added back in the bridge, so it is priced once at face — less the EGP 2,002mn FY2025 dividend that was declared and still unpaid at 31 March 2026.

TWO THINGS TO KNOW BEFORE READING ANY NUMBER.

- \* FY2025 is a cyclical peak. The audited EBITDA margin went 22.0% to 23.1% to 39.2% across the three years on the abolition of the production quota in May 2025. The forecast glides it down every year from there.
- \* Book return on capital is 60.6% and replacement-cost return is 8.6%. The terminal block is struck on the REPLACEMENT figure. On the book number, growth would be free; it is not, and the difference is the single most consequential judgement in this model.

No rating and no price target. Fair-value ranges and distributions only.

## Summary valuation table

Every value linked live from its own sheet.

| Lens                                                 | Value per share (EGP) |
|------------------------------------------------------|-----------------------|
| DCF (cash flow)                                      | 77.18                 |
| Relative multiples                                   | 45.65                 |
| Asset / replacement cost                             | 65.57                 |
| Normalised earnings                                  | 49.64                 |
| CENTRAL FAIR VALUE — the cash-flow lens, not a blend | 77.18                 |
| Lowest of the three cross-checks                     | 45.65                 |
| Highest of the three cross-checks                    | 65.57                 |
| Market price, 2026-09-03                             | 77.00                 |
| Market capitalisation (EGP mn)                       | 28,865                |
| RETIRED: the 50/20/22/8 blend this edition dropped   | 63.89                 |
| THE THREE-PANEL VALUATIONS                           |                       |
|                                                      | Low (EGP)             |
| Expert 1 — Replacement-cost industrialist            | 55.50                 |
| Expert 2 — Mid-cycle earnings-power analyst          | 42.81                 |
| Expert 3 — Cash-return and distribution investor     | 56.96                 |
| Panel median                                         |                       |

Terminal value as a percentage of enterprise value is shown beside the cash-flow lens and linked live to the DCF sheet — it is never typed.



| Role                  | Versus spot | Terminal value % of |
|-----------------------|-------------|---------------------|
| PRIMARY — the central | 0.2%        | <b>59.7%</b>        |
| cross-check           | (40.7%) —   |                     |
| cross-check           | (14.8%) —   |                     |
| DIAGNOSTIC — not a le | (35.5%)     |                     |
|                       | <b>0.2%</b> |                     |
|                       | (40.7%)     |                     |
|                       | (14.8%)     |                     |

weights nobody tested; kept visible, not used

| Central (EGP) | High (EGP) | Versus spot |
|---------------|------------|-------------|
| 65.57         | 75.63      | (14.8%)     |
| 49.64         | 56.47      | (35.5%)     |
| 64.84         | 75.34      | (15.8%)     |
| <b>64.84</b>  |            | (15.8%)     |

inks



**EV**



## **Asset lens, contested choices, and the terminal reconcil**

### **ASSET / REPLACEMENT-COST LENS**

Cement capacity (Mt/yr, audited note 1)

Replacement cost per annual tonne (USD)

Justified enterprise value per annual tonne (USD)

Discount to replacement cost

Implied enterprise value (EGP mn)

Plus net cash

Less non-controlling interests

Equity value

Value per share (EGP)

Memo: what the MARKET is paying per annual tonne (USD)

Memo: audited net book value of property and construction (EGP mn)

Memo: that book value per annual tonne (USD)

### **CONTESTED CHOICES — EACH COMPUTED, NOT ARGUED**

#### **Choice**

Cost of debt: the POUND-EQUIVALENT cost of a euro debt book (adopted) vs the contracted euro rate

Beta: same-country peer median (adopted, tier 2) vs the own-stock regression against the EGX30 that is too weak to use: its R-squared of 0.047 leaves the slope indistinguishable from noise

Capex: economic maintenance in dollars per tonne (adopted) vs book depreciation

Terminal useful life: the disclosed 20 years of machinery and equipment, the class the replacement-cost base actually represents (adopted), vs the longest life disclosed in the same accounting-policies note, 50 years

Column E holds whole-model re-runs — class 3 pasted cells. The EFFECT column is a liv

### **TERMINAL RECONCILIATION — NOW BUILDABLE, BECAUSE CA**

Capital expenditure (audited)

Capex / EBITDA

Depreciation (audited)

Net reinvestment (capex less depreciation)

NOPAT

Reinvestment rate

Return on BOOK invested capital

Implied growth (return x reinvestment)

Character

Terminal return on capital, REPLACEMENT-COST basis — ADOPTED (both

Terminal return on capital, BOOK basis (FY2025)

Terminal rate

## Terminal growth adopted

On the BOOK basis the return on capital is far above the terminal rate and growth would be negative. The book carries a plant built around 2010 at pre-devaluation historic cost. The terminal value is based on REPLACEMENT cost instead, where the return sits below the rate and growth is positive. That single choice is the most consequential judgement in this model, and it is visible

# iation

|  |              |
|--|--------------|
|  |              |
|  | 5.00         |
|  | 130          |
|  | 95           |
|  | (26.9%)      |
|  | 23,893       |
|  | 687          |
|  | -0.2161      |
|  | 24,579       |
|  | <b>65.57</b> |
|  | 112.0        |
|  | 2,914        |
|  | 11.6         |

| Adopted    | Alternative       | Fair value adopted |
|------------|-------------------|--------------------|
| 13.36%     | 7.89%             | 77.18              |
| 0.928      | 0.698             | 77.18              |
| USD 3.23/t | book depreciation | 77.18              |
| 20 years   | 50 years          | 77.18              |
| e formula. |                   |                    |

| PEX IS DISCLOSED     |                      |                      |  |
|----------------------|----------------------|----------------------|--|
| FY2023               | FY2024               | FY2025               |  |
| 59                   | 912                  | 796                  |  |
| 4.4%                 | 45.1%                | 16.3%                |  |
| 250                  | 257                  | 290                  |  |
| (192)                | 655                  | 507                  |  |
| 809                  | 1,359                | 3,501                |  |
| (23.7%)              | 48.2%                | 14.5%                |  |
| 43.9%                | 44.3%                | 60.6%                |  |
| (10.4%)              | 21.4%                | 8.8%                 |  |
| stable — self-funded | stable — self-funded | stable — self-funded |  |
| 11.7%                |                      | RETIRED constructi   |  |
| 60.6%                |                      |                      |  |
| 16.7%                |                      |                      |  |

7.0%

l be free.

l block is

must be paid

e here.

Fair value alternEffect

77.310.2%

88.9615.3%

81.315.4%

94.5422.5%

d

12.6%







## Assumptions — every driver

Blue cells are inputs. Nothing below a driver is typed.

### MARKET AND SHARE COUNT

|                                                                                                                                       |          |
|---------------------------------------------------------------------------------------------------------------------------------------|----------|
| Spot price                                                                                                                            | 77.00    |
| Ordinary shares issued                                                                                                                | 378.7397 |
| Treasury shares held                                                                                                                  | 3.8723   |
| Statutory tax rate                                                                                                                    | 22.5%    |
| Effective tax rate                                                                                                                    | 23.82%   |
| Beta — median of same-country PEER regressions (tier 2; the own-stock memo — own-stock weekly regression against the EGX30: REJECTED) | 0.928    |
| USD/EGP at the valuation date                                                                                                         | 50.3     |

### PLANT — AUDITED NOTE 1

|                       |       |
|-----------------------|-------|
| Cement capacity       | 5.00  |
| Kiln clinker capacity | 4.20  |
| Clinker factor        | 0.733 |

### EXPORT SPLIT — the one ratio the export leg needs; both prices come OUT

|                                                     |       |
|-----------------------------------------------------|-------|
| Export clinker price as a fraction of export cement | 0.650 |
| Average USD/EGP FY2025                              | 49.26 |
| Services revenue as a share of goods revenue        | 6.33% |

### PATHS — FY2025A then FY2026E to FY2030E

|                                                | FY2025A |
|------------------------------------------------|---------|
| Kiln utilisation (THE volume driver)           | 91.7%   |
| Clinker sold as clinker, share of clinker made | 33.8%   |
| Cement exported, share of cement sold          | 17.7%   |
| Cement stock draw (Mt)                         | 0.073   |
| Local price index                              | 1.000   |
| Export price index (USD)                       | 1.000   |
| USD/EGP path                                   | 49.3    |
| Local cost-inflation index                     | 1.000   |
| Alternative-fuel saving on materials           | -       |

### FORECAST DRIVERS — FY2026E to FY2030E

|                                               | FY2026E |
|-----------------------------------------------|---------|
| Depreciation as % of revenue                  | 2.5%    |
| EGP marginal cost-of-debt path                | 20.6%   |
| Yield earned on cash                          | 15.0%   |
| Maintenance capital expenditure               | 3.23    |
| Change in working capital / change in revenue | 12.3%   |
| Dividend payout ratio                         | 55.6%   |

### COST OF CAPITAL

|                                                                      |        |
|----------------------------------------------------------------------|--------|
| Risk-free rate (EGP 10-year government)                              | 22.95% |
| Sovereign default spread (netted out)                                | 3.40%  |
| Equity risk premium, TOTAL (split into the two legs below)           | 9.41%  |
| Mature equity risk premium — beta applies to THIS leg and to nothing | 4.24%  |
| Egypt country premium — charged FLAT, once, never multiplied by bet  | 5.17%  |
| Euribor (EBRD and NBE reference rate)                                | 2.49%  |

|                                                  |        |
|--------------------------------------------------|--------|
| EGP marginal borrowing rate (corridor + 0.6%)    | 20.60% |
| Expected EGP depreciation against the euro       | 6.00%  |
| Terminal cost of debt                            | 15.00% |
| Terminal risk-free rate                          | 10.50% |
| Terminal equity risk premium                     | 7.00%  |
| Terminal debt weight                             | 20.0%  |
| Terminal growth rate                             | 7.0%   |
| Elapsed fraction of FY2026 at the valuation date | 0.500  |

#### **AUDITED INCOME STATEMENT — PASTED CLASS 1 (EGP mn)**

|                                            |        |
|--------------------------------------------|--------|
| FY2023 sales (net)                         | 6,043  |
| FY2024 sales (net)                         | 8,730  |
| FY2025 sales (net)                         | 12,447 |
| FY2023 cost of sales                       | 4,760  |
| FY2024 cost of sales                       | 6,643  |
| FY2025 cost of sales                       | 7,389  |
| FY2023 general and administrative expenses | 184    |
| FY2024 general and administrative expenses | 268    |
| FY2025 general and administrative expenses | 384    |
| FY2023 provisions charged                  | 15     |
| FY2024 provisions charged                  | 56     |
| FY2025 provisions charged                  | 75     |
| FY2023 expected credit losses              | 5      |
| FY2024 expected credit losses              | (1)    |
| FY2025 expected credit losses              | 4      |
| FY2023 profit before tax                   | 930    |
| FY2024 profit before tax                   | 1,506  |
| FY2025 profit before tax                   | 4,725  |
| FY2023 income tax                          | 233    |
| FY2024 income tax                          | 346    |
| FY2025 income tax                          | 1,125  |
| FY2023 attributable profit                 | 697    |
| FY2024 attributable profit                 | 1,160  |
| FY2025 attributable profit                 | 3,600  |
| FY2023 earnings per share                  | 1.81   |
| FY2024 earnings per share                  | 3.02   |
| FY2025 earnings per share                  | 9.49   |
| FY2023 depreciation and amortisation       | 250    |
| FY2024 depreciation and amortisation       | 257    |
| FY2025 depreciation and amortisation       | 290    |
| FY2023 capital expenditure                 | 59     |
| FY2024 capital expenditure                 | 912    |
| FY2025 capital expenditure                 | 796    |
| FY2025 interest income                     | 226    |
| FY2025 other income                        | 53     |
| FY2025 finance costs                       | 50     |
| FY2025 foreign exchange differences        | (102)  |

**AUDITED REVENUE AND COST NOTES (EGP mn)**

|                                           |       |
|-------------------------------------------|-------|
| FY2025 local sales of goods               | 8,350 |
| FY2025 local services                     | 282   |
| FY2025 export sales of goods              | 3,356 |
| FY2025 export services                    | 459   |
| FY2024 total local sales                  | 4,883 |
| FY2024 total export sales                 | 3,846 |
| FY2025 cost of sales — materials and fuel | 5,698 |
| FY2025 cost of sales — transportation     | 764   |
| FY2025 cost of sales — overheads          | 641   |
| FY2025 administrative depreciation        | 4     |

**AUDITED BALANCE SHEET — PASTED CLASS 1 (EGP mn)**

|                                         |        |
|-----------------------------------------|--------|
| Total assets FY2025                     | 8,784  |
| Total assets FY2024                     | 5,849  |
| Total assets FY2023                     | 3,888  |
| Total liabilities FY2025                | 4,141  |
| Property, plant and equipment FY2025    | 2,522  |
| Assets under construction FY2025        | 392    |
| Intangible assets FY2025                | 107    |
| Inventories FY2025                      | 1,054  |
| Trade receivables FY2025                | 244    |
| Debtors and other debit balances FY2025 | 1,005  |
| Cash and bank balances FY2025           | 3,459  |
| Cash and bank balances FY2024           | 1,687  |
| Cash and bank balances FY2023           | 561    |
| Equity attributable to owners FY2025    | 4,643  |
| Equity attributable to owners FY2024    | 2,303  |
| Equity attributable to owners FY2023    | 1,754  |
| Non-controlling interests FY2025        | 0.1580 |

**AUDITED DEBT NOTE 25 (EGP mn)**

|                                         |     |
|-----------------------------------------|-----|
| CIB credit facilities — EGP             | 100 |
| National Bank of Egypt facility — EUR   | 146 |
| EBRD facility — EUR                     | 888 |
| Lease liabilities                       | 1   |
| Total interest-bearing debt FY2024      | 761 |
| Total interest-bearing debt FY2023      | 90  |
| FY2025 loan interest expense            | 25  |
| FY2025 credit-facility interest expense | 23  |
| FY2024 loan interest expense            | 3   |
| FY2024 credit-facility interest expense | 86  |

**DIVIDENDS AND Q1-2026 (EGP mn)**

|                                   |       |
|-----------------------------------|-------|
| FY2025 dividend declared          | 2,002 |
| FY2024 dividend approved and paid | 1,102 |
| Q1-2026 sales                     | 2,996 |
| Q1-2025 sales                     | 2,554 |
| Q1-2026 gross profit              | 1,286 |

|                                                                       |        |
|-----------------------------------------------------------------------|--------|
| Q1-2026 attributable profit                                           | 943    |
| Q1-2026 cash and bank balances                                        | 4,380  |
| Q1-2026 interest-bearing debt                                         | 1,261  |
| Cash and bank balances, reviewed 30 June 2026                         | 1,971  |
| Interest-bearing debt, reviewed 30 June 2026                          | 1,283  |
| Non-controlling interests, reviewed 30 June 2026                      | 0.2161 |
| FY2026+ local price calibration on the H1-2026 reviewed half          | 1.0788 |
| FY2026+ export price calibration on the H1-2026 reviewed half         | 0.8711 |
| FY2026+ cash-cost calibration on the SAME half                        | 0.9764 |
| Services as a share of goods revenue, recalibrated on the half        | 0.0442 |
| Depreciation correction from this name's own fundamental walk-forward | 1.0298 |
| Export subsidy as a share of export revenue, FY2025 DISCLOSED rate    | 0.0086 |
| Other income excluding the export subsidy, FY2025                     | 20.697 |
| Q1-2026 dividends payable                                             | 2,002  |
| Q1-2026 finance costs                                                 | 11     |
| <b>LENS INPUTS</b>                                                    |        |
| Replacement cost per annual tonne                                     | 130    |
| Justified enterprise value per annual tonne                           | 95     |
| Justified EV/EBITDA                                                   | 4.50x  |
| Justified price/earnings                                              | 7.00x  |
| Mid-cycle EBITDA margin                                               | 31.2%  |
| Normalised revenue haircut                                            | 94.0%  |
| <b>SECTOR AND PEERS</b>                                               |        |
| Egyptian nameplate capacity                                           | 76.0   |
| Egyptian sales 2025 — cement AND clinker                              | 72.6   |
| of which cement exports                                               | 11.1   |
| of which clinker exports                                              | 7.6    |
| Egyptian consumption 2025                                             | 54.0   |
| Egyptian exports 2025                                                 | 18.6   |
| Dormant capacity under revival                                        | 12.6   |
| Peer — Sinai Cement revenue                                           | 9,090  |
| Peer — Sinai Cement profit                                            | 2,290  |
| Peer — Sinai Cement market capitalisation                             | 20,604 |
| Peer — Misr Beni Suef revenue                                         | 5,700  |
| Peer — Misr Beni Suef profit                                          | 3,946  |
| Peer — Misr Beni Suef market capitalisation                           | 13,730 |

Every cell on this sheet is BLUE — an input. Nothing here is computed from anything else here.  
Everything on every other sheet that can be derived from these is a formula.

EGP, close 06-Aug-2026

mn — audited note 20

mn — audited note 21

audited: tax over pre-tax profit

peers: 0.815, 0.919, 0.936, 1.030

R-squared 0.047, standard error 0.228, 253 weekly observations to 2026-07-16. The index explains

Mt/yr

Mt/yr

t clinker / t cement

audited note 2.5

| FY2026E | FY2027E | FY2028E | FY2029E | FY2030E |
|---------|---------|---------|---------|---------|
| 92.0%   | 92.5%   | 93.0%   | 93.3%   | 93.5%   |
| 33.0%   | 32.0%   | 31.0%   | 30.5%   | 30.0%   |
| 18.0%   | 18.0%   | 17.5%   | 17.0%   | 16.5%   |
| 0.000   | 0.000   | 0.000   | 0.000   | 0.000   |
| 1.080   | 1.210   | 1.318   | 1.417   | 1.517   |
| 0.968   | 0.944   | 0.927   | 0.911   | 0.895   |
| 55.1    | 60.2    | 64.0    | 67.2    | 70.1    |
| 1.115   | 1.249   | 1.361   | 1.463   | 1.566   |
| 1.5%    | 3.0%    | 4.0%    | 4.8%    | 5.5%    |

| FY2027E | FY2028E | FY2029E | FY2030E |
|---------|---------|---------|---------|
| 2.7%    | 2.9%    | 3.1%    | 3.3%    |
| 18.1%   | 16.1%   | 14.9%   | 14.0%   |
| 13.0%   | 12.0%   | 11.2%   | 10.8%   |

USD/t capacity



EGP  
EGP  
EGP

USD/t

USD/t

Mt

Mt

Mt

Mt — leaves at the kiln, so it is OUT of the cement utilisation ratio

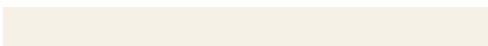
Mt

Mt

Mt



under a twentieth of this share's movement, which is below the usability floor, so tier 1 is unavailable an





d the peer median above is adopted.

## Enterprise value to equity bridge

Present value of explicit free cash flow

Present value of terminal value

Enterprise value

Plus net cash at the valuation date

Less non-controlling interests

Equity value

TERMINAL VALUE AS % OF ENTERPRISE VALUE

Memo: spot price

Fair value less spot

Upside / (downside) to the cash-flow lens

Memo: enterprise value per annual tonne of capacity (USD)

Terminal value share links live to the DCF sheet — never typed. The bridge ADDS net DEDUCTS minority interests; both signs are asserted in the build. The FY2025 dividend unpaid at 31 March 2026 is removed from cash: a buyer at today's price does not rec



| EGP mn        | Per share (EGP) |
|---------------|-----------------|
| 11,376        | 30.35           |
| 16,868        | 45.00           |
| <b>28,245</b> | <b>75.35</b>    |
| 687           | 1.83            |
| (0)           | (0.00)          |
| <b>28,932</b> | <b>77.18</b>    |
| <b>59.7%</b>  |                 |
|               | 77.00           |
|               | 0.18            |
|               | 0.2%            |
|               | 112.3           |

: cash and  
nd declared and  
eive it.



## Unit build — the PLANT drives the tonnes, and the prices co

Revision 3 assumed a price and divided revenue by it. That made the FY2025 check an identity t

### FY2025 — THE PLANT IN TONNES (drivers in green, everything else de

|                                            |       |
|--------------------------------------------|-------|
| Kiln clinker capacity (Mt, audited note 1) | 4.20  |
| Kiln utilisation                           | 91.7% |
| Clinker produced (Mt)                      | 3.851 |
| Share sold as clinker                      | 33.8% |
| Clinker EXPORTED (Mt)                      | 1.301 |
| Clinker ground into cement (Mt)            | 2.551 |
| Clinker factor (t clinker / t cement)      | 0.733 |
| Cement produced (Mt)                       | 3.480 |
| Cement mill capacity (Mt, audited note 1)  | 5.00  |
| Mill utilisation                           | 69.6% |
| Cement exported, share of cement sold      | 17.7% |
| Cement EXPORTED (Mt)                       | 0.630 |
| Cement sold LOCALLY (Mt)                   | 2.923 |
| TOTAL DESPATCHES FY2025 (Mt)               | 4.854 |
| Plus draw from finished-goods stock (Mt)   | 0.073 |

### FY2025 PRICES — DERIVED FROM THE AUDITED REVENUE NOTE, AN

|                                                           |       |
|-----------------------------------------------------------|-------|
| Local sales of goods (audited note 4)                     | 8,350 |
| LOCAL CEMENT PRICE (EGP/t) — DERIVED                      | 2,856 |
| Export sales of goods (audited note 4)                    | 3,356 |
| Clinker price as a fraction of cement                     | 0.650 |
| Export cement-equivalent tonnes                           | 1.475 |
| EXPORT CEMENT PRICE (USD/t) — DERIVED                     | 46.2  |
| EXPORT CLINKER PRICE (USD/t) — DERIVED                    | 30.0  |
| Cement exports as a share of cement PRODUCED — the 30% st | 18.1% |
| Cement SOLD (Mt)                                          | 3.553 |

### FY2025 CASH COST — DISCLOSED, AND ALLOCATED TO ITS OWN DR

|                                                             |       |
|-------------------------------------------------------------|-------|
| Materials and fuel (note 5)                                 | 5,698 |
| Transportation (note 5)                                     | 764   |
| Overheads (note 5) plus cash administration (note 6)        | 1,021 |
| Total cash cost (EGP mn)                                    | 7,484 |
| Materials and fuel per tonne of CLINKER — the kiln burns it | 1,480 |
| Transportation per tonne DESPATCHED                         | 157   |
| Overheads and administration per tonne DESPATCHED           | 210   |
| TOTAL CASH COST PER TONNE SOLD                              | 1,542 |

Provisions and expected credit losses are NOT in this stack. They are operating charges that belong in the EBITDA bridge, but they are not cash cost per tonne. Revision 3 carried them here

### THE BUILD — FY2025A THEN FY2026E TO FY2030E

|                           | FY2025A |
|---------------------------|---------|
| Kiln utilisation (DRIVER) | 91.7%   |
| Clinker produced (Mt)     | 3.851   |

|                                                       |               |
|-------------------------------------------------------|---------------|
| Clinker sold as clinker, share (DRIVER)               | 33.8%         |
| Clinker exported (Mt)                                 | 1.301         |
| Clinker ground (Mt)                                   | 2.551         |
| Cement produced (Mt)                                  | 3.480         |
| Mill utilisation                                      | 69.6%         |
| Cement exported, share (DRIVER)                       | 17.7%         |
| Cement exported (Mt)                                  | 0.630         |
| Cement local (Mt)                                     | 2.923         |
| TOTAL DESPATCHES (Mt)                                 | <b>4.854</b>  |
| Local cement price (EGP/t)                            | 2,856         |
| Export cement price (EGP/t)                           | 2,276         |
| Export clinker price (EGP/t)                          | 1,479         |
| Local revenue (EGP mn)                                | 8,350         |
| Export cement revenue (EGP mn)                        | 1,433         |
| Export clinker revenue (EGP mn)                       | 1,924         |
| Goods revenue (EGP mn)                                | 11,707        |
| REVENUE (EGP mn)                                      | <b>12,447</b> |
| Revenue per tonne despatched (EGP)                    | 2,565         |
| Materials and fuel (EGP mn)                           | 5,698         |
| Transportation (EGP mn)                               | 764           |
| Overheads and administration (EGP mn)                 | 1,021         |
| Cash cost (EGP mn)                                    | 7,484         |
| Cash cost per tonne sold (EGP)                        | 1,542         |
| Provisions and credit losses (EGP mn)                 | 78            |
| EBITDA (AN OUTPUT)                                    | <b>4,886</b>  |
| EBITDA margin                                         | 39.3%         |
| EBITDA per tonne (EGP)                                | 1,007         |
| Draw from finished-goods stock (Mt) (DRIVER)          | 0.073         |
| <b>VALIDATION — AND A PRICE TEST THAT CAN ACTUALI</b> | <b>3.553</b>  |
| Reconstructed FY2025 revenue                          | 12,447        |
| AUDITED FY2025 revenue                                | 12,447        |
| Difference                                            | 0.0%          |
| Reconstructed FY2025 EBITDA                           | 4,886         |
| AUDITED FY2025 EBITDA (operating profit plus D&A)     | 4,886         |
| Difference                                            | 0.0%          |

Rows 76-81 are a TIE, not a test: with prices derived from revenue, revenue reconstructs by construction. Revision 3 presented exactly this identity as "a test that can fail". It cannot.

The real test is rows 22, 26 and 27 — three DERIVED prices, which can be held against the market local EGP 2,856/t, export cement USD 46.2/t, export clinker USD 30.0/t.

The clinker figure sits roughly 30% BELOW the USD 44-48 the trade press quotes for Egyptian clinker. That gap is a live disagreement between the physical disclosure and the price indices, as it is published rather than tuned away. It is the reason the volume base carries a sensitivity.

**THE TWO CAPACITY CONSTRAINTS — BOTH LIVE, BOTH CHECKED E**  
 Kiln clinker capacity (Mt, audited note 1) 4.20

|                                                |              |
|------------------------------------------------|--------------|
| Peak clinker required across the forecast (Mt) | 3.927        |
| Peak kiln utilisation — must stay below 100%   | <b>93.5%</b> |
| Headroom at the kiln (Mt of clinker)           | 0.273        |
| Cement mill capacity (Mt, audited note 1)      | 5.00         |
| Peak cement produced across the forecast (Mt)  | 3.751        |
| Peak mill utilisation — must stay below 100%   | <b>75.0%</b> |
| Headroom at the mill (Mt of cement)            | 1.249        |

Both constraints are now REAL. Clinker exports and domestic cement compete for the same kiln every tonne shipped as clinker is a tonne that could have been ground into cement worth several times as much. Revision 3 could not see this at all — it carried one product, ignored clinker exports, and its kiln check therefore ran on a volume base 28% too small. On the physical disclosure its FY2030 forecast needed 103% of the kiln, not the 78% it published.

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that could not fail. Here the drivers are physical and all three realised prices are derived, so they ca

**derived)**

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| FY2026E | FY2027E | FY2028E | FY2029E | FY2030E |
|---------|---------|---------|---------|---------|
| 92.0%   | 92.5%   | 93.0%   | 93.3%   | 93.5%   |
| 3.864   | 3.885   | 3.906   | 3.919   | 3.927   |

|               |               |               |               |               |
|---------------|---------------|---------------|---------------|---------------|
| 33.0%         | 32.0%         | 31.0%         | 30.5%         | 30.0%         |
| 1.275         | 1.243         | 1.211         | 1.195         | 1.178         |
| 2.589         | 2.642         | 2.695         | 2.723         | 2.749         |
| 3.532         | 3.605         | 3.677         | 3.716         | 3.751         |
| 70.6%         | 72.1%         | 73.5%         | 74.3%         | 75.0%         |
| 18.0%         | 18.0%         | 17.5%         | 17.0%         | 16.5%         |
| 0.636         | 0.649         | 0.644         | 0.632         | 0.619         |
| 2.897         | 2.956         | 3.034         | 3.084         | 3.132         |
| <b>4.807</b>  | <b>4.848</b>  | <b>4.888</b>  | <b>4.911</b>  | <b>4.929</b>  |
| 3,328         | 3,727         | 4,063         | 4,368         | 4,673         |
| 2,147         | 2,288         | 2,389         | 2,462         | 2,525         |
| 1,395         | 1,487         | 1,553         | 1,601         | 1,641         |
| 9,640         | 11,017        | 12,326        | 13,471        | 14,636        |
| 1,365         | 1,484         | 1,537         | 1,556         | 1,563         |
| 1,779         | 1,849         | 1,880         | 1,913         | 1,934         |
| 12,784        | 14,350        | 15,744        | 16,939        | 18,132        |
| <b>13,349</b> | <b>14,985</b> | <b>16,440</b> | <b>17,688</b> | <b>18,934</b> |
| 2,777         | 3,091         | 3,363         | 3,602         | 3,842         |
| 6,130         | 6,798         | 7,373         | 7,885         | 8,393         |
| 824           | 931           | 1,023         | 1,105         | 1,186         |
| 1,101         | 1,244         | 1,367         | 1,476         | 1,585         |
| 8,056         | 8,972         | 9,763         | 10,467        | 11,165        |
| 1,676         | 1,851         | 1,997         | 2,131         | 2,265         |
| 84            | 94            | 103           | 111           | 119           |
| <b>5,210</b>  | <b>5,918</b>  | <b>6,574</b>  | <b>7,111</b>  | <b>7,650</b>  |
| 39.0%         | 39.5%         | 40.0%         | 40.2%         | 40.4%         |
| 1,084         | 1,221         | 1,345         | 1,448         | 1,552         |
| 0.000         | 0.000         | 0.000         | 0.000         | 0.000         |
| <b>3.532</b>  | <b>3.605</b>  | <b>3.677</b>  | <b>3.716</b>  | <b>3.751</b>  |

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**VERY YEAR**



in be tested against the market and disagree.





## Relative multiples and normalised earnings power

### NORMALISED EARNINGS BASE

FY2025 revenue, audited (the cyclical peak)

Haircut to the revenue base

Normalised revenue

Mid-cycle EBITDA margin

Normalised EBITDA

Less audited depreciation

Normalised EBIT

Normalised NOPAT

Memo: audited FY2023 EBITDA margin

Memo: audited FY2024 EBITDA margin

Memo: audited FY2025 EBITDA margin

### RELATIVE LENS — EV/EBITDA ON NORMALISED EARNINGS

Justified EV/EBITDA

Implied enterprise value

Plus net cash

Less non-controlling interests

Equity value

Value per share (EGP)

### NORMALISED-EARNINGS LENS

Justified price / earnings

Capitalised operating earnings

Plus net cash, at FACE

Less non-controlling interests

Equity value

Value per share (EGP)

Cash is added at FACE in both lenses rather than capitalised at the operating multiple.



12,447  
94.0%  
11,700  
31.2%  
**3,651**  
(290)  
3,361  
**2,560**  
22.0%  
23.1%  
39.3%



4.50x  
16,427  
687  
-0.2161  
17,114  
**45.65**



7.00x  
17,922  
687  
-0.2161  
18,609  
**49.64**



## Discounted cash flow — the primary lens

Cost of capital built here, facility by facility, never pasted.

|                                | FY2026E |
|--------------------------------|---------|
| Revenue                        | 13,349  |
| EBITDA margin                  | 39.0%   |
| EBITDA                         | 5,210   |
| Depreciation and amortisation  | 344     |
| EBIT                           | 4,916   |
| Tax rate (effective)           | 23.8%   |
| NOPAT (EBIT $\times$ (1 – t))  | 3,745   |
| Plus depreciation              | 344     |
| Less capital expenditure       | (890)   |
| Less change in working capital | (111)   |
| FREE CASH FLOW TO THE FIRM     | 1,544   |
| Glide fraction                 | 0.0000  |
| Forward cost of capital        | 27.96%  |
| Discount factor                | 0.9402  |
| PRESENT VALUE OF FCFF          | 1,452   |

### TERMINAL BLOCK

|                                                                     |        |
|---------------------------------------------------------------------|--------|
| Replacement-cost invested capital, in TERMINAL-year pounds (EGP     | 45,911 |
| Terminal NOPAT (year 5 NOPAT grown at g)                            | 5,762  |
| Memo: return on invested capital — RETIRED construction (profit grc | 12.6%  |
| Memo: FY2025 return on BOOK invested capital                        | 60.6%  |
| Memo: reinvestment rate the RETIRED construction charged (g / ret   | 55.8%  |
| Terminal value                                                      | 39,213 |
| Present value of terminal value                                     | 16,868 |
| End-of-window discount factor (t = 4.50y, not the year-5 mid-point) | 0.4302 |

### ENTERPRISE TO EQUITY BRIDGE

|                                                                 |          |
|-----------------------------------------------------------------|----------|
| Present value of explicit years (FY2026E-FY2030E)               | 11,376   |
| Present value of terminal value                                 | 16,868   |
| Enterprise value                                                | 28,245   |
| TERMINAL VALUE AS % OF ENTERPRISE VALUE                         | 59.7%    |
| Cash and bank balances, reviewed 30 June 2026 — THE DISCLOSED   | 1,971    |
| (memo) the roll-forward the previous edition had to use instead | 3,199    |
| (memo) what that roll-forward missed, per share                 | 3.3387   |
| Cash at the valuation date (30 June 2026)                       | 1,971    |
| Less interest-bearing debt, reviewed 30 June 2026               | (1,283)  |
| Net cash (ADDED — the company is net cash)                      | 687      |
| Less non-controlling interests (reviewed 30 June 2026)          | -0.2161  |
| Equity value                                                    | 28,932   |
| Shares outstanding (mn)                                         | 374.8674 |
| FAIR VALUE PER SHARE (EGP)                                      | 77.18    |

### **COST-OF-DEBT INTEGRITY — THE EVIDENCE, NOT THE ASSERTION**

|                                                          |               |
|----------------------------------------------------------|---------------|
| Euro share of the book (audited note 25)                 | 91.1%         |
| CIB facility rate — EGP corridor + 0.6%                  | 20.60%        |
| NBE/KfW facility rate — Euribor + 3.00%                  | 5.49%         |
| EBRD facility rate — Euribor + 4.35%                     | 6.84%         |
| ADOPTED blended cost of debt                             | <b>13.36%</b> |
| Effective rate computed FY2024 (interest / average debt) | 20.85%        |
| Effective rate computed FY2025                           | 5.03%         |
| Effective rate computed Q1-2026, annualised              | 3.73%         |
| Pound-EQUIVALENT cost of debt under interest parity      | <b>13.36%</b> |

The blended rate on row 59 sits above the trailing effective rates on rows 60-62 because the book re-based mid-year from pound facilities to euro term debt, and interest on the under-construction alternative-fuel assets is capitalised rather than expensed. The gap is disclosed, not smoothed.

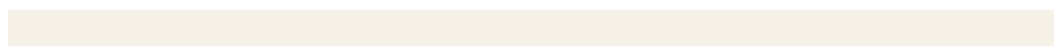
Row 63 loads the euro legs with expected pound depreciation; its effect is on Fundamental Valuation.

The glide on row 16 is derived from the POUND cost-of-debt path: the discount rate is a pound rate on pound cash flows, so the pound easing calendar sets its slope while the euro book sets its level.



| FY2027E      | FY2028E      | FY2029E      | FY2030E      |
|--------------|--------------|--------------|--------------|
| 14,985       | 16,440       | 17,688       | 18,934       |
| 39.5%        | 40.0%        | 40.2%        | 40.4%        |
| 5,918        | 6,574        | 7,111        | 7,650        |
| 417          | 491          | 565          | 643          |
| 5,556        | 6,140        | 6,606        | 7,069        |
| 23.8%        | 23.8%        | 23.8%        | 23.8%        |
| 4,232        | 4,677        | 5,032        | 5,385        |
| 417          | 491          | 565          | 643          |
| (973)        | (1,034)      | (1,085)      | (1,132)      |
| (201)        | (179)        | (153)        | (153)        |
| <b>3,476</b> | <b>3,955</b> | <b>4,359</b> | <b>4,743</b> |
| 0.3788       | 0.6818       | 0.8636       | 1.0000       |
| 23.71%       | 20.31%       | 18.27%       | 16.74%       |
| 0.7948       | 0.6515       | 0.5461       | 0.4648       |
| 2,762        | 2,577        | 2,381        | 2,205        |

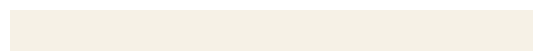
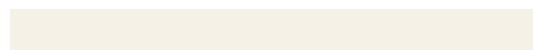
|                     |       |
|---------------------|-------|
| Capital maintainar  | 2,296 |
| Book depreciator    | 643   |
| Inflation on workin | 163   |
| Growth capital (R   | -     |
| Terminal free casl  | 3,570 |
| Memo: return on i   | 11.7% |



|               |                                    |
|---------------|------------------------------------|
|               | COST OF CAPITAL — BUILT HERE, F    |
| 22.95%        | Risk-free rate (observed EGP 10-ye |
| -3.40%        | Less sovereign default spread      |
| 19.55%        | Normalised risk-free rate          |
| 28.65%        | Cost of equity (rf* + beta × MATUF |
| <b>27.96%</b> | WACC — explicit window             |
| <b>13.36%</b> | Cost of debt, blended by currency, |
| 10.35%        | Cost of debt after tax             |
| 3.78%         | Debt weight D/(D+E)                |
| 1,135         | Total interest-bearing debt        |
| 28,865        | Market capitalisation              |
| 91.1%         | Euro share of the debt book        |

|               |                                       |
|---------------|---------------------------------------|
| 1.074         | Terminal beta, UNLEVERED at the c     |
| 18.02%        | Terminal cost of equity               |
| 11.63%        | Terminal cost of debt after tax       |
| <b>16.74%</b> | WACC — terminal                       |
| 31.68%        | Memo: retired construction, risk-free |
| 303           | Memo: sovereign double-count rem      |





ACILITY BY FACILITY (labels in column E:  
ar)

RE premium + country premium, flat)

POUND-EQUIVALENT

observed structure then re-levered

e NOT netted  
oved (basis points)



## Income statement — 3 AUDITED years + 5-year forecast

EGP mn

|                                                          | FY2023       |
|----------------------------------------------------------|--------------|
| Revenue                                                  | 6,043        |
| Cost of sales                                            | (4,760)      |
| Gross profit                                             | 1,283        |
| Gross margin                                             | 21.2%        |
| General and administrative expenses                      | (184)        |
| Provisions and credit losses                             | (20)         |
| OPERATING PROFIT                                         | <b>1,079</b> |
| Operating profit, opening the EBITDA bridge              | 1,079        |
| Depreciation and amortisation                            | 250          |
| EBITDA                                                   | <b>1,330</b> |
| EBITDA margin                                            | 22.0%        |
| Net finance and other income                             | (149)        |
| Profit before tax                                        | 930          |
| Income tax                                               | (233)        |
| Effective tax rate                                       | 25.0%        |
| Attributable profit                                      | <b>697</b>   |
| Earnings per share (EGP)                                 | 1.81         |
| Dividends declared                                       |              |
| Dividend per share (EGP)                                 |              |
| FY2025 check: components of non-operating income against | 0.0000       |

FY2023-FY2025 revenue, cost of sales, administrative expenses, provisions, pre-tax profit, tax attributable profit, earnings per share and depreciation are AUDITED figures. Operating profit, EBITDA, margins and the effective tax rate are formulas over them. Nothing historical is derived by closing an assumption, which is what revision 1 had to do.



| FY2024       | FY2025       | FY2026E      | FY2027E      | FY2028E      |
|--------------|--------------|--------------|--------------|--------------|
| 8,730        | 12,447       | 13,349       | 14,985       | 16,440       |
| (6,643)      | (7,389)      |              |              |              |
| 2,087        | 5,058        |              |              |              |
| 23.9%        | 40.6%        |              |              |              |
| (268)        | (384)        |              |              |              |
| (55)         | (78)         |              |              |              |
| <b>1,764</b> | <b>4,596</b> | <b>4,916</b> | <b>5,556</b> | <b>6,140</b> |
| 1,764        | 4,596        | 4,916        | 5,556        | 6,140        |
| 257          | 290          | 344          | 417          | 491          |
| <b>2,021</b> | <b>4,886</b> | <b>5,210</b> | <b>5,918</b> | <b>6,574</b> |
| 23.1%        | 39.3%        | 39.0%        | 39.5%        | 40.0%        |
| (258)        | 129          | 127          | 237          | 358          |
| 1,506        | 4,725        | 5,043        | 5,793        | 6,498        |
| (346)        | (1,125)      | (1,201)      | (1,380)      | (1,548)      |
| 23.0%        | 23.8%        | 23.8%        | 23.8%        | 23.8%        |
| <b>1,160</b> | <b>3,600</b> | <b>3,842</b> | <b>4,413</b> | <b>4,950</b> |
| 3.02         | 9.49         | 10.25        | 11.77        | 13.21        |
| 1,102        | 2,002        | 2,136        | 2,454        | 2,752        |
| 2.94         | 5.34         | 5.70         | 6.55         | 7.34         |

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| FY2029E | FY2030E |
|---------|---------|
| 17,688  | 18,934  |

|              |              |
|--------------|--------------|
| <b>6,606</b> | <b>7,069</b> |
| 6,606        | 7,069        |
| 565          | 643          |
| <b>7,111</b> | <b>7,650</b> |
| 40.2%        | 40.4%        |
| 495          | 662          |
| 7,101        | 7,731        |
| (1,691)      | (1,841)      |
| 23.8%        | 23.8%        |
| <b>5,409</b> | <b>5,889</b> |
| 14.43        | 15.71        |
| 3,008        | 3,274        |
| 8.02         | 8.73         |

## Balance sheet — 3 AUDITED years + 5-year forecast

EGP mn

|                                      | FY2023 |
|--------------------------------------|--------|
| Property, plant and equipment        |        |
| Assets under construction            |        |
| Intangible assets                    |        |
| Total non-current assets             |        |
| Cash and bank balances               | 561    |
| Inventories, receivables and debtors |        |
| TOTAL ASSETS                         | 3,888  |
| Interest-bearing debt                | 90     |
| Other liabilities                    |        |
| Total liabilities                    |        |
| Equity attributable to owners        | 1,754  |
| Net (cash) / debt                    | (471)  |
| Book value per share (EGP)           | 4.68   |
| Return on equity                     | 39.8%  |

### THE AUDITED BALANCE SHEET CLOSES — A CHECK REVISION 1 C

|                                                         |         |
|---------------------------------------------------------|---------|
| Total assets (audited)                                  | 8,784   |
| Less total liabilities (audited)                        | (4,141) |
| Equals total equity                                     | 4,643   |
| Equity attributable to owners plus minorities (audited) | 4,643   |
| Difference                                              | 0.0000  |

Revision 1 was offered EGP 2,894.13mn as total liabilities and rejected it because it would not close; it derived EGP 4,140.99mn instead. The audited statements show 2,894.13 is total CUI liabilities and the total is 4,140.99. The derivation was right, and row 25 now closes to zero.



| FY2024 | FY2025  | FY2026E | FY2027E | FY2028E |
|--------|---------|---------|---------|---------|
|        | 2,522   |         |         |         |
|        | 392     |         |         |         |
|        | 107     |         |         |         |
|        | 3,021   | 3,567   | 4,123   | 4,666   |
| 1,687  | 3,459   | 2,506   | 3,709   | 5,185   |
|        | 2,303   | 2,414   | 2,615   | 2,793   |
| 5,849  | 8,784   | 8,487   | 10,446  | 12,644  |
| 761    | 1,135   | 1,135   | 1,135   | 1,135   |
|        | 3,006   | 3,006   | 3,006   | 3,006   |
|        | 4,141   | 4,141   | 4,141   | 4,141   |
| 2,303  | 4,643   | 4,347   | 6,306   | 8,504   |
| (926)  | (2,324) | (1,371) | (2,574) | (4,050) |
| 6.14   | 12.38   | 11.60   | 16.82   | 22.68   |
| 50.4%  | 77.5%   | 88.4%   | 70.0%   | 58.2%   |

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RENT



| FY2029E | FY2030E |
|---------|---------|
|---------|---------|

|               |               |
|---------------|---------------|
| 5,186         | 5,675         |
| 6,913         | 8,886         |
| 2,947         | 3,100         |
| <b>15,046</b> | <b>17,661</b> |
| 1,135         | 1,135         |
| 3,006         | 3,006         |
| 4,141         | 4,141         |
| <b>10,906</b> | <b>13,520</b> |
| (5,778)       | (7,751)       |
| 29.09         | 36.07         |
| 49.6%         | 43.6%         |



## Cash flow — audited FY2025 and the forecast, linked to the wat

EGP mn

|                                  | FY2025A      |
|----------------------------------|--------------|
| Attributable profit              | 3,600        |
| Add back depreciation            | 290          |
| Less change in working capital   |              |
| Cash from operations             | <b>3,889</b> |
| Capital expenditure              | (796)        |
| Free cash flow to equity         | <b>3,093</b> |
| Dividends declared               | (2,002)      |
| Closing cash                     | 3,459        |
| Memo: free cash flow to the firm |              |

The FY2025 column is the AUDITED outturn: attributable profit, depreciation and capital expenditure all read from the audited cash flow statement. The forecast columns LINK to the DCF and Income Statement sheets, so the statement and the valuation cannot disagree by construction.

## erfall

| FY2026E      | FY2027E      | FY2028E      | FY2029E      |
|--------------|--------------|--------------|--------------|
| 3,842        | 4,413        | 4,950        | 5,409        |
| 344          | 417          | 491          | 565          |
| (111)        | (201)        | (179)        | (153)        |
| <b>4,075</b> | <b>4,629</b> | <b>5,262</b> | <b>5,821</b> |
| (890)        | (973)        | (1,034)      | (1,085)      |
| <b>3,185</b> | <b>3,656</b> | <b>4,228</b> | <b>4,736</b> |
| (2,136)      | (2,454)      | (2,752)      | (3,008)      |
| 2,506        | 3,709        | 5,185        | 6,913        |
| 1,544        | 3,476        | 3,955        | 4,359        |



**FY2030E**

5,889  
643  
(153)  
**6,380**  
(1,132)  
**5,247**  
(3,274)  
8,886  
4,743

## Summary financials — eight years on one screen

EGP mn

|                          | FY2023 |
|--------------------------|--------|
| Revenue                  | 6,043  |
| EBITDA                   | 1,330  |
| EBITDA margin            | 22.0%  |
| Operating profit         | 1,079  |
| Attributable profit      | 697    |
| Earnings per share (EGP) | 1.81   |

### GROWTH

Revenue growth  
EBITDA growth  
Profit growth

Every cell on this sheet is a link or a formula. Nothing is restated.



| FY2024 | FY2025 | FY2026E | FY2027E | FY2028E |
|--------|--------|---------|---------|---------|
| 8,730  | 12,447 | 13,349  | 14,985  | 16,440  |
| 2,021  | 4,886  | 5,210   | 5,918   | 6,574   |
| 23.1%  | 39.3%  | 39.0%   | 39.5%   | 40.0%   |
| 1,764  | 4,596  | 4,916   | 5,556   | 6,140   |
| 1,160  | 3,600  | 3,842   | 4,413   | 4,950   |
| 3.02   | 9.49   | 10.25   | 11.77   | 13.21   |

|       |        |      |       |       |
|-------|--------|------|-------|-------|
| 44.5% | 42.6%  | 7.2% | 12.3% | 9.7%  |
| 52.0% | 141.8% | 6.6% | 13.6% | 11.1% |
| 66.3% | 210.3% | 6.7% | 14.9% | 12.2% |



| FY2029E | FY2030E |
|---------|---------|
| 17,688  | 18,934  |
| 7,111   | 7,650   |
| 40.2%   | 40.4%   |
| 6,606   | 7,069   |
| 5,409   | 5,889   |
| 14.43   | 15.71   |

|      |      |
|------|------|
| 7.6% | 7.0% |
| 8.2% | 7.6% |
| 9.3% | 8.9% |

## Probabilistic price map — ILLUSTRATIVE ONLY

Percentiles are the output of a 50,000-path simulation: pasted, class 2.

This map is NOT a valuation. It does not redraw when a valuation driver changes.

| One month                                  |         |
|--------------------------------------------|---------|
| 5th percentile                             | 50.44   |
| 25th percentile                            | 55.93   |
| Median                                     | 59.45   |
| 75th percentile                            | 63.21   |
| 95th percentile                            | 70.09   |
| Spot                                       | 77.00   |
| Probability of finishing above spot        | 53.4%   |
| Probability of finishing 10% or more above | 17.0%   |
| Probability of finishing 10% or more below | 11.6%   |
| Probability of TOUCHING +10% at any point  | 27.8%   |
| Probability of TOUCHING -10% at any point  | 19.8%   |
| Median versus spot                         | (22.8%) |
| Width of the 5th-95th band, as % of spot   | 25.5%   |

### HOW WELL CALIBRATED IS THIS MAP? — MEASURED, NOT ASSERT

|                                        |        |
|----------------------------------------|--------|
| Windows scored                         | 16     |
| Coverage of the 50% band (nominal 50%) | 56.3%  |
| Coverage of the 80% band (nominal 80%) | 93.8%  |
| Coverage of the 90% band (nominal 90%) | 100.0% |
| Cone width against the benchmark       | 1.23x  |

The bands cover MORE than their nominal share, so the map is too wide rather than mis-centr



Three months

43.92

53.71

60.46

67.97

83.17

77.00

55.6%

34.0%

23.0%

58.0%

45.5%

(21.5%)

51.0%

ED

ed.



## Sensitivity — whole-model re-runs (class 3, pasted)

Each cell is a complete revaluation. THESE GRIDS DO NOT REDRAW.

### Fair value per share (EGP): explicit-window cost of capital against t

| g = 3% |        |       |
|--------|--------|-------|
|        | 24.96% | 80.29 |
|        | 26.46% | 78.95 |
|        | 27.96% | 77.65 |
|        | 29.46% | 76.38 |
|        | 30.96% | 75.15 |

### Fair value per share (EGP): explicit-window rate against TERMINAL terminal 14.7%

|  |        |       |
|--|--------|-------|
|  | 24.96% | 95.41 |
|  | 26.46% | 93.78 |
|  | 27.96% | 92.19 |
|  | 29.46% | 90.64 |
|  | 30.96% | 89.13 |

### Fair value per share (EGP): beta

| 0.60       |  |       |
|------------|--|-------|
| Fair value |  | 95.83 |

### Fair value per share (EGP): margin shift

| -4%        |  |       |
|------------|--|-------|
| Fair value |  | 66.06 |

### Fair value per share (EGP): net cash (EGP mn)

| -813       |  |       |
|------------|--|-------|
| Fair value |  | 73.18 |

Note the growth column of the first grid: HIGHER terminal growth gives a LOWER value, b  
terminal return on replacement-cost capital sits below the hurdle. Read off the grid, never t  
revision 3 carried this note unchanged after its own grid had reversed, and it contradicted i



**terminal growth**

| <b>g = 4%</b> | <b>g = 5%</b> | <b>g = 6%</b> | <b>g = 7%</b> |
|---------------|---------------|---------------|---------------|
| 80.31         | 80.26         | 80.10         | 79.80         |
| 78.98         | 78.92         | 78.76         | 78.47         |
| 77.68         | 77.62         | 77.47         | 77.18         |
| 76.41         | 76.35         | 76.20         | 75.92         |
| 75.17         | 75.12         | 74.97         | 74.69         |

**rate**

| <b>terminal 15.7%</b> | <b>terminal 16.7%</b> | <b>terminal 17.7%</b> | <b>terminal 18.7%</b> |
|-----------------------|-----------------------|-----------------------|-----------------------|
| 86.72                 | 79.80                 | 74.15                 | 69.46                 |
| 85.26                 | 78.47                 | 72.94                 | 68.34                 |
| 83.83                 | 77.18                 | 71.75                 | 67.24                 |
| 82.44                 | 75.92                 | 70.60                 | 66.18                 |
| 81.09                 | 74.69                 | 69.48                 | 65.14                 |

| <b>0.80</b> | <b>1.00</b> | <b>1.15</b> | <b>1.30</b> |
|-------------|-------------|-------------|-------------|
| 82.86       | 73.20       | 67.44       | 62.60       |

| <b>-2%</b> | <b>+0%</b> | <b>+2%</b> | <b>+4%</b> |
|------------|------------|------------|------------|
| 71.62      | 77.18      | 82.74      | 88.30      |

| <b>-63</b> | <b>687</b> | <b>1,437</b> | <b>2,187</b> |
|------------|------------|--------------|--------------|
| 75.18      | 77.18      | 79.18        | 81.18        |

ecause the  
yped:  
itself.



## Per-share figures, ratios and reconciliations

|                            | FY2023 |
|----------------------------|--------|
| Earnings per share (EGP)   | 1.81   |
| Book value per share (EGP) | 4.68   |
| Price / earnings (at spot) | 42.54x |
| Price / book (at spot)     | 16.45x |
| EBITDA per tonne (EGP)     |        |
| Return on equity           | 39.8%  |
| Net (cash) / EBITDA        | -0.35x |

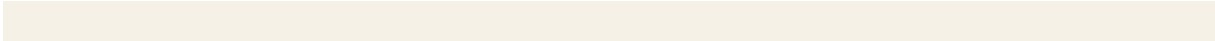
### RECONCILIATIONS AGAINST THE AUDITED ACCOUNTS

|                                                             |                 |
|-------------------------------------------------------------|-----------------|
| Shares issued (audited note 20)                             | 378.7397        |
| Less treasury shares (audited note 21)                      | -3.8723         |
| Shares outstanding — ADOPTED                                | <b>374.8674</b> |
| Shares implied by the FY2025 dividend at EGP 5.34 per share | 374.8674        |
| Difference                                                  | <b>0.0000%</b>  |
| Issued capital implied at EGP 2 par (EGP mn)                | 757             |
| Q1-2026 revenue growth on Q1-2025                           | 17.3%           |
| FY2026 revenue implied by holding that growth               | 14,599          |
| FY2026 revenue this model forecasts                         | 13,349          |
| The forecast against the run rate                           | (8.6%)          |
| Q1-2026 gross margin                                        | 42.9%           |
| FY2025 gross margin                                         | 40.6%           |
| Q1-2026 attributable profit annualised at four times        | 3,772           |
| FY2026 profit this model forecasts                          | 3,842           |
| The forecast against the annualised first quarter           | 1.8%            |
| Q1-2026 net cash, free of the declared dividend             | 1,117           |
| Net cash at the valuation date in this model                | 687             |

The share count is now read directly from the audited capital and treasury notes, and the FY202 dividend divides to the same count exactly. Revision 1 reached 374.87mn by triangulation and w right; this is the confirmation rather than the estimate.



| FY2024 | FY2025 | FY2026E | FY2027E | FY2028E |
|--------|--------|---------|---------|---------|
| 3.02   | 9.49   | 10.25   | 11.77   | 13.21   |
| 6.14   | 12.38  | 11.60   | 16.82   | 22.68   |
| 25.50x | 8.11x  | 7.51x   | 6.54x   | 5.83x   |
| 12.53x | 6.22x  | 6.64x   | 4.58x   | 3.39x   |
|        | 1,007  | 1,084   | 1,221   | 1,345   |
| 50.4%  | 77.5%  | 88.4%   | 70.0%   | 58.2%   |
| -0.46x | -0.48x | -0.26x  | -0.43x  | -0.62x  |





| FY2029E | FY2030E |
|---------|---------|
| 14.43   | 15.71   |
| 29.09   | 36.07   |
| 5.34x   | 4.90x   |
| 2.65x   | 2.13x   |
| 1,448   | 1,552   |
| 49.6%   | 43.6%   |
| -0.81x  | -1.01x  |



## Peer set and the Egyptian cement balance

|                              | Revenue (EGP m) |
|------------------------------|-----------------|
| Arabian Cement (ARCC)        | 12,447          |
| Sinai Cement (SCEM)          | 9,090           |
| Misr Beni Suef Cement (MBSC) | 5,700           |

Peer average price / earnings (excluding the subject)

Subject premium / (discount) to the peer average

### THE EGYPTIAN CEMENT BALANCE

|                                                            |       |
|------------------------------------------------------------|-------|
| Nameplate capacity (Mt)                                    | 76.0  |
| Production 2025 (Mt)                                       | 72.6  |
| Domestic consumption 2025 (Mt)                             | 54.0  |
| Exports 2025 (Mt) — cement AND clinker                     | 18.6  |
| Dormant capacity under revival (Mt)                        | 12.6  |
| Sector utilisation — CEMENT sold over CEMENT nameplate     | 85.6% |
| The subject as a share of national capacity                | 6.6%  |
| Revival capacity as a share of consumption                 | 23.3% |
| The subject's own volume as a share of national production | 6.7%  |
| memo: all product over cement nameplate — RETIRED, t       | 95.6% |

Every multiple here is RECOMPUTED from revenue, profit and market capitalisation rather than quoted, because the published multiples for this peer set do not reconcile.



| Profit (EGP mn) | Market cap (EGP) | Price / earnings | Price / sales |
|-----------------|------------------|------------------|---------------|
| 3,600           | 28,865           | 8.02x            | 2.32x         |
| 2,290           | 20,604           | 9.00x            | 2.27x         |
| 3,946           | 13,730           | 3.48x            | 2.41x         |
|                 |                  | 6.24x            |               |
|                 |                  | 28.5%            |               |



|                  |      |
|------------------|------|
| of which CEMENT  | 11.1 |
| of which CLINKER | 7.6  |
| CEMENT sold 2025 | 65.1 |

han



**Net margin**

28.9%

25.2%

69.2%

